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1. Which of the following is NOT a “Primary Activity” of a business in Michael Porter’s Value Chain Framework?
- A. Inbound logistics
 - B. Operations
 - C. Technology Development
 - D. Marketing and Sales
 - E. Service
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2. Which of the following statements offers the best explanation for why a firm’s market value can exceed its book value?
- A. Investors purchased shares of the company at a high price
 - B. Equity investors expect the firm's future profits to be greater than the value of its assets
 - C. Debt financing reduces the book value of the firm's assets
 - D. The firm has reinvested a substantial amount of its earnings
 - E. The firm issued debt at a high interest rate
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3. If a firm takes a \$100,000 loan from a bank, what is the immediate impact on that firm’s financial statements?
- A. Liabilities increase by \$100,000 on Balance Sheet
 - B. Assets increase by \$100,000 on Balance Sheet
 - C. Both Assets and Liabilities increase by \$100,000 on Balance Sheet
 - D. Shareholders Equity and Retained Earnings increase on the Income Statement
 - E. An Interest Expense appears on the Income Statement
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4. How do the marketing activities of (i) product development and (ii) pricing relate to the concepts of value creation and value capture?
- A. Both activities are focused on value creation
 - B. Both activities are focused on value capture
 - C. Product design creates value and pricing determines value capture
 - D. Pricing creates value and product design determines value capture
 - E. There is no relationship between these activities and value creation and capture
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5. Which of the following statements about Strategy is LEAST correct?
- A. Five Forces analysis can be used to explain differences in average profitability between different industries
 - B. Competitive positioning analysis can be used to explain differences in the profitability of different firms in the same industry
 - C. SWOT analysis provides a straightforward way to list important advantages and challenges inside and outside of the firm
 - D. A firm’s strategy should be clear, concise and internally consistent so that employees in different parts of an organization can understand it
 - E. Strategy is focused solely on competition and the firm's external environment
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6. Which of the following statements about Market Power is INCORRECT?
- A. A firm can acquire market power by innovating and creating value
 - B. A firm with market power has a 'steep' or 'inelastic' demand curve
 - C. A good strategy can increase a firm's market power
 - D. Antitrust law prevents firms from increasing their market power
 - E. All of the statements above are correct
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7. What famous theory is associated with the prediction that it is impossible for an individual trader in financial markets to consistently achieve “excess returns” or “beat the market” without taking additional risk?
- A. The Invisible Hand
 - B. The Pareto Principle
 - C. The Efficient Market Hypothesis
 - D. The NO Arbitrage Principle
 - E. The Harberger Triangle
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8. Moral Hazzard and Adverse Selection are examples of what type of Market Failure?
- A. Market Power
 - B. Negative Externalities
 - C. Positive Externalities
 - D. Incomplete Information
 - E. All of the above
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9. Which of the following economic thinkers would be least surprised to learn that, “Only five of today’s hundred largest public companies were among the top hundred in 1917. Half of the top hundred of 1970 had been replaced in the rankings by 2000.”
- A. Adam Smith
 - B. Freidrich Hayek
 - C. Ronald Coase
 - D. Josef Schumpeter
 - E. Amartya Sen
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10. Which of the following statements about Milton Friedman’s view of stakeholders is **least accurate**?
- A. Friedman would urge managers to address the concerns of stakeholders who do not own stock in a company if those stakeholders can affect the firm’s net income.
 - B. Friedman believes that managers are free to devote their own personal resources to addressing externalities and stakeholder concerns
 - C. Friedman sees no conflict between shareholder and stakeholder principles for a business that is a sole proprietorship
 - D. Friedman believes that government should play an important but limited role in a market economy
 - E. Friedman would encourage American companies to appoint labor representatives to public company boards of directors
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11. Which of the following statements **most accurately** summarizes the difference between Freeman's Stakeholder Theory (ST) and Porter and Kramer's Creating Shared Value (CSV) framework?
- A. CSV is focused on opportunities to create more value for both shareholders and stakeholders, while ST is focused on situations where managers must balance competing interests
 - B. CSV is focused on stakeholders and ST is focused on shareholders
 - C. CSV argues that managers' primary duty is to maximize profit, while ST argues that their primary objective is to maximize social welfare.
 - D. CSV is focused on shareholders and ST is focused on Stakeholders
 - E. CSV assumes that shareholders will benefit from initiatives that address stakeholder concerns, while ST assumes the opposite
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12. What stakeholder concern led to significant challenges for Coke and Pepsi in India ?
- A. Health related concerns due to sugar content of their drinks
 - B. Concerns over unfair labor practices in bottling plants
 - C. Concerns over water pollution and over consumption
 - D. Concerns about Western company's contributing to Indian income inequality
 - E. none of the above
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13. Which of these interpretations of the ETSY case is **most consistent** with the thesis of the reading by King and Pucker?
- A. ETSY thrived from the outset by achieving an optimal balance among various stakeholder groups
 - B. ETSY initially engaged in "magical thinking" that ignored tradeoffs between financial performance and stakeholder objectives, and was eventually forced to adjust its strategy
 - C. ETSY's original focus on the concerns of primary stakeholders, such as employees and the independent artisans who use its platform, provided a sense of purpose for the company during a period of financial difficulties
 - D. ETSY's story illustrates how venture capital investors prioritize short-term profits over long-term value maximization
 - E. The ETSY case shows how stakeholder concerns and shareholder value maximization are mutually compatible if a firm carefully identifies that appropriate set of stakeholders
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14. Which ethical theory or framework is most directly concerned with the problem of positive and negative externalities?
- A. Libertarianism
 - B. Virtue Ethics
 - C. Deontology
 - D. Social Justice Theory
 - E. Utilitarianism
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15. If the primary instructor for a class adopts a policy of having their Teaching Assistants handle all claims of student cheating, that would be an example of what kind of ethical barrier, according to Tenbrunsel and Bazerman?
- A. Ill-conceived goals
 - B. Motivated Blindness
 - C. Indirect Blindness
 - D. Slippery slope
 - E. Overvaluing outcomes
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16. Suppose that consumers are willing to pay \$10 per unit for a phone case that can be manufactured at a cost of \$8 per unit, but the manufacturing process also causes pollution that costs \$X per unit to clean up. What types of policies can be used to ensure that phone cases are produced only when production creates value for society?
- A. Charge the company a tax of \$X per case
 - B. Create a regulation that allows firms to produce cases only if $\$X < \2
 - C. Teach managers that they should adopt a stakeholder view that places equal weight on shareholder profits and environmental externalities
 - D. In this simplified example, options (a) through (c) will all work
 - E. There is no way to align the company's profit motive with social welfare maximization
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17. Which of the following cases did you enjoy the most?
- A. Chandra Park Aquariums
 - B. Warby Parker
 - C. Carter Racing
 - D. Google
 - E. I enjoyed all of them
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18. Many companies now use predictive analytics to identify products that individual consumers might wish to purchase, and to target those individuals with personalized offers that include a customer-specific price:
- (a) What parts of Porter's Value Chain are these activities associated with?
 - (b) How is the trend towards "mass customization" related to value creation and value capture?
 - (c) Consumer advocates have argued that personalization is bad because firms can use data to learn about individuals' willingness to pay and set prices very close to that level. How would a business strategy practitioner respond to this concern?
- This question is 10 pts and has 3 parts.
- (Please write your essay response on a separate piece of paper)*
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19. In recent years, several companies such as AirBnB, Vrbo, and Booking.com have entered the market for online brokering of short-term home or apartment rentals.
- a. What type of market did these firms create?
 - b. What are some methods that these companies use to address the "lemons problem" that occurs because renters have less information than owners about the quality of the homes or apartments that are listed?
 - c. Tenant advocacy groups have argued that these firms are bad for local communities because they drive up rents. Identify the primary stakeholders in this scenario, and explain whether, in your view, Milton Friedman and Ed Freeman would recommend the same strategy (to the firms) for addressing the advocates' concerns?
- This question is 10 pts and has 3 parts
- (Please write your essay response on a separate piece of paper)*
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20.

The 2008 financial crisis, often called the Great Recession, had its roots in the U.S. housing market. During the early 2000s, banks offered “variable interest rate” mortgages to homebuyers (including many borrowers with poor credit histories). The homebuyers would make small payments initially, but those payments could rise in later years if interest rates increased.

The banks bundled the mortgages together into complex financial products called mortgage-backed securities (MBS), which the banks then sold to other investors. By bundling together thousands of mortgages from all over the country, it appeared that default risk – the risk that a borrower cannot make their loan payments – was spread out and minimized. Credit rating agencies gave many of these MBS securities very high ratings, indicating that they were safe investments. Under this business model, the banks earned substantial fees for creating the mortgages and the mortgage-backed securities, but passed much of the default risk onwards to the other MBS investors.

Starting in 2008, interest rates increased and many homebuyers began to default on their loans. The value of the MBS dropped, causing very large losses for both banks and investors. These losses led to fears that some of the largest US financial institutions, such as Citigroup or Bank of America, might go bankrupt and that this could threaten the entire financial system. To prevent that outcome, the U.S. government purchased many bad loans and MBS investments using taxpayer funds.

- a. Explain how the business model adopted by the large banks in this case highlights two different types of ethical “blind spots” (or barriers to ethical organization) that were described in the readings by Bazerman and Tenbrunsel.
- b. Suppose you are a front-line employee of a large bank, and your job is to sell mortgages to new homebuyers. In 2005, you begin to recognize that many of your customers will not be able to afford their mortgage payments if interest rates increase even slightly. Choose one of the four major ethical perspectives described in the Reading Note and analyze your obligations to (a) customers, (b) shareholders, and (c) MBS investors from that perspective.
- c. Many observers suggested that the government intervention to rescue the large banks created a “moral hazard” problem, because banks that expect to be bailed out in the future will take on more risk. Who are the principal and the agent in this version of moral hazard? What types of solution could be used to address the problem?

This question is 15 pts and has 3 parts

(Please write your essay response on a separate piece of paper)

21.

The 2015 Volkswagen Dieselgate scandal involved the German automaker intentionally programming its diesel engines to activate pollution controls only during laboratory testing. This allowed Volkswagen’s vehicles to pass regulatory tests while emitting pollutants up to 40 times above legal limits during normal driving.

The deception affected approximately 11 million vehicles worldwide and led to widespread legal, financial, and reputational harms for the company. Volkswagen faced billions of dollars in fines, vehicle recalls, and lawsuits, and several executives were prosecuted (criminally charged for crimes). The scandal significantly damaged consumer trust and sparked broader scrutiny of emissions standards and testing practices across the automotive industry.

- a. Explain why pollution is an example of an externality, and whether it is a positive or a negative externality?
- b. Suppose that instead of programming its vehicles to cheat on emissions tests, Volkswagen had successfully lobbied the government to increase pollution limits, such that its cars emitted the same amount of pollution without breaking any laws. From a Utilitarian perspective, is there any difference between these two scenarios?
- c. Do you think Volkswagen’s actions are an example of “short termism”? Explain your answer.

This question is 15 pts and has 3 parts

(Please write your essay response on a separate piece of paper)